

land prices. “Offering an affordable product is very difficult. Expectations of landowners are high. That is driving up costs. Developers continue to work on modest margins. The challenge is to ensure that the pricing remains affordable.”

Builders are focusing on luxury because land prices and construction costs have gone up, says Anshuman Magazine, Chairman & CEO—India, South-East Asia, Middle East & Africa at CBRE. “When you combine the increase in the cost of land and the cost of construction, it’s not easy to do affordable housing. Land prices have gone up in top cities such as NCR, Mumbai, Bengaluru, Chennai, Hyderabad, and Pune.”

Affordable homes sales have gone down due to supply-side problems, says Shishir Bajjal, Chairman & Managing Director at Knight Frank India. “Most of the affordable homes are in the periphery of cities where there is not much infrastructure.” Premium and luxury homes accounted for 20-25% of India’s residential market before the pandemic while the affordable segment was over 50%. In 2025, premium and luxury homes have jumped to 55%, far exceeding the affordable and mid-housing segments, he says.

DLF’s Ohri says the developer can’t afford to have apartments in the mid-segment because of the “mammoth amount of resources and cost that we incur on everything.”

“Whether we make something for ₹1 crore or ₹100 crore, our efforts, energy, and time are the same,” he says. DLF will not touch a project unless it meets the company’s margin parameters, he says.

At DLF’s home turf in Gu-

FOCUS ON PREMIUM

• Premium housing sales rise by 4% in January-September 2025 amid shift to value-focused market

Ticket Size Break-Up in Sales (in ₹)	Jan-Sep 2025 sales (No of units)	YoY Growth (Jan-Sep 2025 over Jan-Sep 2024)	% share in Jan-Sep 2025 sales	% share in Jan-Sep 2024 sales
<50 LAKH	19,772	-33%	10%	13%
50 LAKH-1 CRORE	57,275	-28%	28%	34%
1-1.5 CRORE	43,007	0%	21%	19%
1.5-3 CRORE	51,467	10%	25%	20%
3-5 CRORE	19,180	3%	9%	8%
ABOVE 5 CRORE	12,055	1%	6%	5%
Total	2,02,756	-12%	100%	100%

SOURCE REAL ESTATE INTELLIGENCE SERVICE, JLL RESEARCH

HOW SALES FARED

• Home sales in the top seven cities saw a 14% YoY decline in 2025, with around 3,95,625 units sold against 4,59,645 units in 2024

